

LS PMS

Performance Management System — complete scope for build, version 1 · 7 October 2026

PREPARED FOR

Head of Engineering & Delivery

SPONSOR

Director – Operations

CYCLE ADMINISTRATOR

Head of Human Resources

This document is the complete scope. The working prototype carries the same rules in executable form — where the two disagree, the prototype is correct.

1 Why this is being built

There has never been performance data. Every appraisal has rested on recollection at the end of the year, and the FY26 cycle showed what that costs.

- **42 of 73 people** were rated 4 or 5. A written example was required at 5 but not at 4, so 4 became the free answer.
- Ratings were computed to two decimals, rounded, and in places overridden by hand with no reason recorded.
- Ratings were normalised centrally and several managers learned of the change only in the 1:1.
- Eighteen people wrote back after outcome letters. Most of the substance was structural, not about the number.

Three defects sit underneath all of that: nothing accumulated through the year, nothing required evidence, and nothing objective entered the assessment. V1 addresses all three.

2 What V1 is

COMPONENT	WHAT IT DOES
Monthly record	Employee and manager each write a short dated note every month. Optional for the employee, expected of the manager.
Quarterly review	Self-assessment, manager rating on six competencies, a recorded 1:1 and the employee's own reflection.
Annual roll-up	The four quarters aggregate to one number that feeds the existing rating × grade increment matrix.
Cycle administration	Opening and closing quarters, chasing non-submitters, handling joiners, leavers and manager changes.
Low-rating path	A written, time-bound route out of a poor quarter rather than a dead-end score.

OUT OF SCOPE, DELIBERATELY

- KPIs per role — deferred until a full cycle of data exists.
- Engagement-weighted multi-rater scoring — only 18 of 109 people are on more than one project.
- 360 or peer feedback · skip-level views · salary bands · promotion criteria.

3 The six competencies

Scored 1 to 5. **Delivery & Accountability** and **Technical / Functional Skill** carry double weight, so the divisor is 8, not 6.

COMPETENCY	WEIGHT	VARIES BY FUNCTION
Delivery & Accountability	2	No
Technical / Functional Skill	2	Yes
Quality of Work	1	Yes
Problem Solving & Judgement	1	No
Communication & Collaboration	1	No
Learning & Growth	1	No

One framework for every function, not five. Only two competencies carry a description that changes by function — that is where the real variation lives, and keeping it there means the organisation-wide increment matrix receives comparable inputs.

FUNCTION	TECHNICAL / FUNCTIONAL SKILL	QUALITY OF WORK
Engineering & Technology	Code, design and tooling in their stack	Defects reaching QA or production, rework
Sales & Marketing	Pipeline, proposal craft, domain knowledge	Accuracy of proposals and forecasts; CRM hygiene
Human Resources & Admin	Recruitment, policy, employee relations	Accuracy of records, letters and payroll inputs
Finance & Legal	Statutory knowledge, controls, systems	Error rate, audit findings, corrections after issue
IT & Hardware	Infrastructure, support, security practice	Repeat tickets, unresolved root causes

WHY QUALITY WAS ADDED

Three FY26 appraisal letters went out with an allowance line where the annual figure did not equal monthly $\times 12$, and one promotion letter carried the wrong grade. Those were quality failures in Finance and HR, and nothing on the previous competency set would have captured them.

4 The rules

RULE	DEFINITION
Who rates	The primary reporting manager rates. Other project leads comment; their comments are stored and shown on the review screen but carry no score in V1.
The score	The weighted average of the manager's six competency scores, to two decimals. Divisor 8.
The self-rating	Captured and shown beside the manager's rating to surface the gap. It never enters the score.
Evidence	A written example is mandatory at 4 <i>and</i> 5, naming the project, the deliverable and roughly when.
Month closure	Months close with their quarter, not monthly. Every month in an open quarter stays editable; the cycle administrator closes the quarter and the record is then fixed.
Eligibility	42 days minimum with the rating manager inside the quarter. Below that the quarter is <i>Not applicable</i> — no rating, and excluded from the annual average rather than counted as weak.
Annual rating	The simple average of the quarters actually rated, equal weighting, rounded to a whole number for the increment matrix. Any manual override must carry a written reason.
Manager change	The manager at quarter close rates. The outgoing manager leaves a handover note in the monthly record before the change takes effect.

On real joining dates the eligibility rule marks 12 people Not applicable in Q1, 3 in Q2 and none in Q3.

5 Roles and visibility

ROLE	CAN DO	CANNOT SEE
Employee	Own monthly notes, self-assessment, reflection after release	Manager drafts, the leadership note, anyone else's record
Manager	Monthly notes, ratings, 1:1 record, commitments, leadership note — for direct reports	Records outside their own reports
Project lead	Comment on people allocated to their project	Ratings; they do not score in V1
Head of department	Completion, distribution and per-manager averages for their department	Edit rights on individual records
HR — cycle admin	Everything, including the audit trail. Opens and closes quarters; reopens a form with a logged reason	—

THE LEADERSHIP NOTE

The note a manager writes for leadership — calibration, flight risk, succession — never appears on anything the employee can open, and never forms part of the rating. Catching a manager unaware in a 1:1 was a named FY26 failure; so was an employee reading something they were not meant to see.

6 Cycle calendar

QUARTER	MONTHS	WHAT HAPPENS
FY27-Q1	Apr – Jun 26	Already captured on the previous seven competencies. Mapped to the six; Quality of Work has no source, so Q1 scores on five of six.
FY27-Q2	Jul – Sep 26	Captured retrospectively. Monthly record not available for these months.
FY27-Q3	Oct – Dec 26	First quarter running live. Monthly record begins.
FY27-Q4	Jan – Mar 27	First quarter with commitments set in advance to rate against.
April 2027	—	Appraisal runs on four quarters of recorded evidence.

7 Low rating

Triggered by a quarter below **2.50**, or two consecutive quarters below **3.00**. Doing this quarterly rather than annually is the point — catching someone in Q2 leaves three quarters to turn it round; catching it in April leaves none.

- The manager describes what specifically is below standard — observable behaviour, not a score.
- Two or three improvements with a 30-day date, countersigned by the HR head before it reaches the employee.
- Review at 30 days: improved, partly, or not. Recorded either way, including when it goes well.
- If unresolved, a formal plan at 60 days with the possible outcomes stated upfront.

GUARD

A low rating with no monthly notes behind it is challenged, not actioned. A manager who never wrote a line about someone all quarter has not earned the right to flag them.

8 Non-functional

- **Audit trail on every write** — who, what, old value, new value, when. ISO 27001 evidence, and the only thing that makes an override arguable rather than silent.
- **Automated reminders** to employees, managers and the cycle administrator. 109 people across four quarters cannot be chased by hand.
- **Historic access follows live permissions**. Nobody sees more of the past than they see of the present.
- **Retention** — confirm how long review data is held after someone leaves, and who may read it meanwhile.

9 Blockers before a build starts

#	BLOCKER	OWNER
1	Employee ID collision. One code identifies a different person in each of the two systems, and thirteen people carry different IDs across them. The HR system's ID must be authoritative everywhere before any join is written.	Data sanitisation
2	Project → rating manager map. Allocations exist but no system records who leads a project. All 18 need a named lead; two have none obvious.	Engineering
3	Stale record. One employee is still marked Active who should not be.	HR

10 Risks

RISK	WHY IT MATTERS	RESPONSE
Adoption decay	Roughly 436 review events and 1,300 monthly entries a year. Q3 goes well on novelty; Q4 is where it holds or dies.	Keep V1 light. The monthly note is the only monthly obligation.
Clustering at 4 and 5	If the distribution matches FY26, the evidence rule is not biting.	Distribution and per-manager averages visible every quarter.
Inconsistent managers	Nine of 25 managers have one or two reports — too few for a stable scale.	Outlier flags above 4.20 and below 2.80; calibrate within departments.
Still qualitative	Six human scores. Better organised opinion, not objective measurement.	Commitments from Q4; allocation as factual context; KPIs in the next phase.
Grade structure	A correct rating feeding an undefined grade still produces an indefensible increment.	Runs as a parallel track, not a later one.

SCOPE OWNER

Changes to this scope are agreed by the sponsor and the cycle administrator before they reach the build. The prototype is updated in the same pass, because it is the version engineering reads.